World in Brief: Treasury yields climb back up; Evergrande's founder is sentenced to life

Photograph: Reuters

Yields on **30-year Treasuries** climbed on Thursday. The move reversed some of Wednesday's decline after Scott Bessent, America's treasury secretary, promised to buy back more long-term bonds. Investors remain concerned about inflation and government debt, which this week exceeded $40trn for the first time.

Hui Ka Yan, the founder of **Evergrande**, once the world's biggest property firm by sales, was sentenced to life in prison by a Chinese court for "multiple combined crimes". In April Mr Hui pleaded guilty to eight charges, including fraud and misuse of funds. Evergrande inflated the value of its assets and concealed its liabilities before defaulting on $300bn of debt in 2021. The firm and a subsidiary were fined $2.4bn.

Japan accused **North Korea** of firing a suspected ballistic missile toward the sea. The launch comes days after President Donald Trump announced America would scale back military exercises with South Korea. Kim Yo Jong, the powerful sister of North Korea's dictator, Kim Jong Un, said the "provocative, aggressive nature" of the drills remains unchanged but added that relations between the leaders were "still excellent".

Walmart, America's biggest retailer, posted its lowest quarterly sales growth in more than six years. American sales rose by just 2.6% year-on-year, helped by e-commerce, while brick-and-mortar sales fell. The retailer blamed lower drug prices owing to new federal regulations for the slowdown. It is another bad sign for American consumer confidence. Last week data showed retail sales fell month on month in July, the first decline in nine months.

Volodymyr Zelensky sacked one of his senior aides as anti-corruption agencies investigate staff in the Ukrainian president's office. Iryna Mudra's dismissal came after her house and office were searched as part of a money-laundering probe. On Tuesday the popular former defence minister, Mykhailo Fedorov, called for elections in a challenge to Mr Zelensky. Elections are suspended under martial law, in place since Russia's invasion in 2022.

CK Hutchison is seeking $1.5bn in damages from Panama for the "destruction" of its investment in the Panama Canal. The Hong Kong conglomerate operated the ports of Balboa and Cristóbal, on either side of the waterway, until Panama revoked its contract in February. CK Hutchison claims the decision violates an investment-protection treaty. The firm is already suing Maersk, a Danish shipping company, for taking over the ports.

Prince Harry and **Meghan** announced they will move back to Britain with their two children, six years after moving to America. The British government removed the couple's right to automatic police protection in 2020 after they stepped back from royal duties. Last year Harry lost a legal battle to have the decision reversed. Andy Burnham, the prime minister, said their security arrangements are a "private matter".

Figure of the day: 18%, the jump in homework scores for students aged 12-18 who used AI. But those who didn't use it scored better in exams. Explore the evidence on AI's impact on education.

US in brief: dismay at $40trn in debt

Photograph: Getty Images

Politicians reacted to the **federal debt hitting $40trn** in various unhelpful ways. Ron DeSantis, Florida's Republican governor, wished that Congress had passed a balanced-budget amendment to the constitution when it was proposed in the 1990s. Mark Kelly, a Democratic senator from Arizona, wrote on X that Donald Trump promised to pay off the debt before his first term. Rick Scott, a Republican senator from Florida, said that Congress needs to get "spending under control" (but he voted for Mr Trump's budget-busting One Big Beautiful Bill last year). Last week Scott Bessent, the treasury secretary, told Newsmax "we did get it under control" before, apparently, events intervened.

Earlier, the **Treasury** said it will buy back more long-term **government bonds** in an attempt to contain borrowing costs. In response, the yield on 30-year Treasuries fell slightly to 5.18%. Investors' worries about inflation and America's huge debt had pushed 30-year yields to their highest since 2007.

Donald Trump said he would name Heidi Overton, a physician and White House staffer, to lead the **Food and Drug Administration**. Bill Cassidy, himself a doctor and a Republican senator for Louisiana, noted her managerial inexperience, and her role in Mr Trump's reduction in the number of recommended childhood vaccines: “that alone is almost disqualifying,” Mr Cassidy wrote. Confirmation could be impossible without his vote.

The minutes of July’s **Federal Reserve** rate-setting meeting were released, revealing the depth of members’ concern about persistent **inflation**. They worried that it had spread beyond items directly affected by tariffs and high oil prices, even suggesting that AI spending was juicing prices. Some thought they should have already raised interest rates. Yesterday Mr Trump again called for a rate cut.

To strive, to seek, to find a way to cut yields

Photograph: Getty Images

America’s government is sufficiently spooked about borrowing costs that it will double (at least) its own purchases of long-dated debt from September. Its announcement on Wednesday drove down the yield on 30-year Treasuries slightly from around 5.3%, the highest since 2007. Britain, France, Germany and Japan have seen similarly soaring yields. Why so high?

With little sign the Strait of Hormuz will reopen soon, bond traders are pricing in continued inflation. And a surfeit of companies issuing bonds, many to fund AI infrastructure, gives buyers new investment-grade options. But the biggest reason is government deficits. Investors increasingly see little prospect of politicians slashing spending or raising taxes. Governments could sell more short-dated bonds, but that raises the risk of refinancing when rates are rising. Or they could buy more of their own debt, but central banks want to shrink their balance-sheets. That leaves few good options to tame yields.

Selling SpaceX

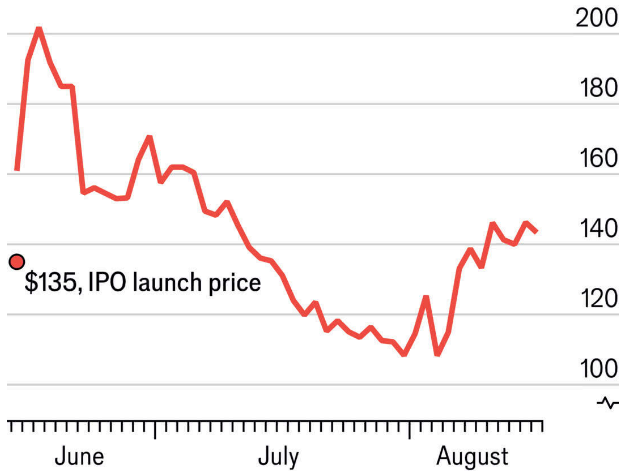
Photograph: Alamy

SpaceX’s latest launch is financial rather than astronomical. On Thursday Elon Musk’s rocketry and AI firm frees up a tranche of 319m shares, around 2.5% of the total, for trading—the second of several releases planned between now and the middle of next year. SpaceX had a record-breaking initial public offering in June, but only around 640m shares were made available to buy.

Fears that investors would dump shares when the first lockup expired didn’t come to pass. SpaceX’s share price has risen almost 30% since then, though it is nowhere near the $200 it once reached. Today it orbits around $140. The firm’s first set of public results, published on August 4th, reported a near-doubling of revenue in the second quarter of the year compared with the previous one, to $7.8bn, and a narrowing of losses from $1bn to $541m. Investors buying in will hope SpaceX can maintain that trajectory.

Back down to Earth

SpaceX, share price, 2026, $



Source: LSEG Workspace

Taiwan has money to spend

Illustration: David Simons

Taiwan's cabinet approved a budget proposal for 2027 on Thursday. The island's economy, turbo-charged by the AI industry's demand for its semiconductors, grew by 14% year-on-year in the first half of 2026, inspiring largesse. The government proposed an 18% increase in defence spending from last year to counter the growing military threat from China, which claims the island. This takes its military spending above NT$1trn ($31bn) for the first time, and pushes it above 3% of GDP, in line with American demands.

But the new budget must be approved by parliament, where the opposition outnumbers the ruling parties. Last year's budget, which should have been ratified by the end of last year, passed only on August 14th, after repeated clashes delayed it. Mr Lai lamented that political divisions should not affect "the normal functioning of the state". Yet Taiwan's politics do not run as smoothly as its economy.

Tennis’s least-loved underdog

Photograph: Amazon MGM Studios

No one in Novak Djokovic’s family had ever played tennis. His childhood in Belgrade was disrupted by the Kosovo war, and he came of age when the two best players of all time, Roger Federer and Rafael Nadal, dominated. “The Wolf in Winter”, an Amazon Prime documentary released on Thursday, shows how Mr Djokovic triumphed anyway. When he retires (he wants to reach the 2028 Olympics, by which time he’ll be 41), he will have won a record number of men’s Grand Slams and is expected to have earned more prize money than any other player.

Although sport fans usually love an underdog, tennis aficionados merely respect Mr Djokovic. He lacks Mr Federer’s style and Mr Nadal’s humility. He overlooked public health guidelines during the pandemic and has often lashed out at hostile crowds. Yet few players possess a greater will to win or a deeper sense of self-belief. The sport will be poorer without him, even if many fans will not mind.

Daily quiz

Illustration: Sandra Navarro

We will serve you a new question each weekday. On Friday your challenge is to give us all five answers and tell us the theme. Email your responses (and your home city and country) by 1700 BST on Friday to . We'll pick three winners at random and crown them on Saturday.

Thursday: Which American air-force base in Nevada is the subject of many conspiracy theories about alien visitors?

Wednesday: Which play by Bertolt Brecht is about a peasant girl who rescues a baby?

Never go to bed mad. Stay up and fight.

Phyllis Diller